

Introduction to IT-Law

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Credit: Uni Graz / David Schreyer

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E-Commerce

– Basics Concepts

What is e-commerce?

We work for tomorrow

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E-Commerce

Platforms

Consumer protection

Applicable law

Law enforcement



Webshops

Source of information

...

E-Commerce and Related Concepts

- **E-commerce** involves transactions using electronic means of communication (especially contracts concluded over the internet)
- **Direct** e-commerce – **indirect** e-commerce
- **M-commerce**, **social commerce**
- **E-business**

- Delivery of **goods**/provision of **services**/supply of **digital content** – electronic **payments**/provision of **personal data**

- **E-commerce law** (in the broader sense): legal rules that apply to commercial activities carried out via electronic means/online

“Web 1.0-4.0”

Cf. industry 4.0.

Web 4.0? – e.g. virtual worlds

Web 3.0 (->Web3) – e.g. blockchains, decentralization
starting ≈ in the late 2000s

Web 2.0 – e.g. interactive platforms, social media
starting ≈ in the mid 2000s

Web 1.0 – e.g. web shops
starting ≈ in the 1990s

Development of the **internet**
starting in the 1960s

Legal rules

E-Commerce – Legal Framework

E-Commerce-Directive 2000/31/EC (ECD)

Consumer Rights Directive 2011/83/EU (CRD)

Distance Marketing of Financial Services Directive 2002/65/EC -> Directive (EU) 2023/2673

Sale of Goods Directive (SGD), **Digital Content and Services** Directive (DCSD)

Electronic Identification and Trust Services Regulation – eIDAS Regulation

Platform Regulation (Digital Markets Act – DMA, Digital Services Act – DSA, Platform-to-business relations – P2B Regulation)

Electronic payments (esp. PSD II – Payment Services Directive II)

National (private) law – in Austria e.g. ABGB, UGB, ECG, KSchG, FAGG

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Types of Transactions

Transactions can be classified according to the **involved parties** and their respective **roles**

- **C2C** -> General private law (GPL)
- **B2B** -> GPL, commercial law
- **B2C** -> GPL, consumer protection law (commercial law if applicable)
- **C2B** -> GPL; consumer protection law?; (commercial law if applicable)

Further concepts

- "B2b", B2G, C2G
- B2P2B – B2P2C – C2P2C

B = Business, C = Consumer, G = Government, P = Platform

Consumer – Business

Consumer: any natural person who is acting for purposes which are outside his or her trade, business or profession – art. 2(e) ECD; see also e.g. art. 2(1) CRD; art. 3(c) DSA

"**Business**" (<-> consumer)

- **Trader**: any natural person or any legal person, irrespective of whether privately or publicly owned, who is acting, including through any other person acting in his name or on his behalf, for purposes relating to his trade, business, craft or profession in relation to contracts covered by this Directive – art. 2(2) CRD; see also e.g. art. 3(f) DSA
- **Services for remuneration** (-> ECD, DSA)
- **Business activity** (-> PSD II)
- **Enterprise** – art. 1 Annex Recommendation 2003/361/EC

Platforms

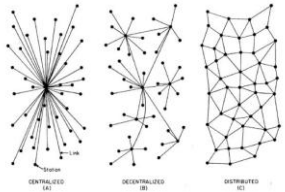
Online platform means a hosting service that, at the request of a recipient of the service, stores and disseminates information to the public, unless that activity is a minor and purely ancillary feature of another service or a minor functionality of the principal service and, for objective and technical reasons, cannot be used without that other service, and the integration of the feature or functionality into the other service is not a means to circumvent the applicability of this Regulation
– art. 3(i) DSA

Online marketplace: a service using software, including a website, part of a website or an application, operated by or on behalf of a trader which allows consumers to conclude distance contracts with other traders or consumers
– art. 2(12) CRD; cf. section 4 (art. 29 et seq.) DSA

Cf. also: online content-sharing service provider: a provider of an information society service of which the main or one of the main purposes is to store and give the public access to a large amount of copyright-protected works or other protected subject matter uploaded by its users, which it organizes and promotes for profit-making purposes – Directive (EU) 2019/790 (DSMD -> copyright)

E-Commerce Transactions (schematic)

→ Web3?



„Platform contract“

„Platform contract“

Platform

GTC

Seller
(supplier etc)

Good, service, content

Payment, VCs, data

Buyer
(user etc)

Payment Service Providers (PSP)

PISPs

Other forms of interaction between platform users – e.g. postings, likes etc on social media platforms

„Platform law“

GPL, consumer protection law, commercial law

Payment services law

Cf. *Miernicki* in *Škorjanc*, Handbuch Plattformrecht (in press)

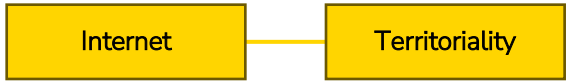
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E-Commerce Law

E-Commerce Directive – Scope I

This Directive seeks to contribute to the **proper functioning of the internal market** by ensuring the **free movement of information society services** between the Member States – art. 1(1) ECD

↳ "[…] establish a **real area without internal borders** […]" – recital 3 ECD



Information Society Service – art. 2(a) ECD, art. 1(1)(b), art. 10 Directive (EU) 2015/1535

- any service normally provided **for remuneration**, at a **distance**, by **electronic means** and **at the individual request of a recipient** of services
- "at a distance": service is provided **without the parties being simultaneously present**;
- "by electronic means": service is **sent** initially and **received** at its destination by means of **electronic equipment for the processing** […] and **storage** of **data**, and entirely transmitted, conveyed and received by **wire**, by **radio**, by **optical means** or by **other electromagnetic means**;

E-Commerce Directive – Scope II

- “at the individual request of a recipient of services”: the service is provided through the **transmission** of data on **individual request**.
- Cf. § 3(1) Austrian ECG: e.g. online sale of goods and services, online information services, online advertising, electronic search engines and services retrieving data

No information society services are, for instance (Annex I Directive (EU) 2015/1535),

- Consultation of an electronic catalogue in a shop with the customer on site; plane ticket reservation at a travel agency in the physical presence of the customer by means of a network of computers; — ≠ “at a distance”
- Automatic cash or ticket dispensing machines (banknotes, rail tickets); telephone/telefax consultation of a doctor/lawyer; distribution of CD-ROMs or software on diskettes — ≠ “electronic means”
- Radio broadcasting services; television broadcasting services — ≠ “at the individual request of a recipient of services”

Exclusions – art. 1(5) ECD

- E.g. taxation, data protection, antitrust

General information to be provided – art. 5 ECD

Service providers render **easily**, **directly** and **permanently accessible** to the recipients of the service and competent authorities, at least the **following information**:

- the name of the service provider;
- the geographic address at which the service provider is established;
- the details of the service provider, including his electronic mail address, which allow him to be contacted rapidly and communicated with in a direct and effective manner;
- the trade register in which the service provider is entered and his registration number, or equivalent means of identification in that register;
- where the activity is subject to an authorization scheme, the particulars of the relevant supervisory authority;
- information on regulated professions (e.g. professional body, with which the service provider is registered, professional title);
- Information on taxes, prices and delivery costs

Cf. also §§ 24, 25 Austrian Media Act; § 14 UGB

Commercial communications – art. 6 et seq. ECD

Commercial communication = any form of communication designed to promote, directly or indirectly, the goods, services or image of a company, organization or person pursuing a commercial, industrial or craft activity or exercising a regulated profession (except e.g.: domain, e-mail address by themselves)

- the **commercial communication** shall be **clearly identifiable as such**
- the **natural** or **legal person** on whose behalf the commercial communication is made shall be **clearly identifiable**
- **promotional offers** (e.g. discounts) and **promotional competitions or games** shall be **clearly identifiable** as such, and the respective **conditions** for them shall be **easily accessible** and be **presented clearly and unambiguously**

Special rules under national law for **unsolicited commercial communication** – cf. "**robinson list**" – art. 7(2) ECD

Contracts concluded by electronic means – art. 9 ECD et seq.

Treatment of contracts – art. 9 ECD

National legal systems allow for contracts to be concluded by electronic means (with exceptions; e.g. rights in real estate, family law)

Information requirements – art. 10, 11 ECD

- Information to be provided **prior to the order being placed** by the recipient of the service (e.g. the different technical steps to follow to conclude the contract, the technical means for identifying and correcting input errors, the languages offered)
- Effective and accessible technical means to **identify** and **correct input errors**
- **Receipt of the order** is **acknowledged without undue delay** and by **electronic means**
- The order and the acknowledgement of receipt are **deemed to be received** when the parties to whom they are addressed **are able to access them**.
- **Contract terms and general conditions** provided to the recipient must be made available in a way that allows him to **store** and **reproduce** them

Exception for **exclusive use electronic mail** or **equivalent individual communications**

Mandatory (only) for **consumer contracts**

Excursus: Liability of Hosting Providers

Hosting service: a service consisting of the **storage of information** provided by, and **at the request of**, **a recipient** of the service – art. 3(6)(iii) DSA <-> **content provider**

Where an information society service is provided that consists of the storage of information provided by a recipient of the service, the service provider shall **not be liable for the information stored at the request of a recipient** of the service, on condition that the provider

- does **not have actual knowledge** of illegal activity or illegal content and, as regards claims for damages, is not **aware of facts or circumstances** from which the illegal activity or illegal content is apparent; or
- upon obtaining such knowledge or awareness, **acts expeditiously** to remove or to disable access to the illegal content

– art. 6(1) DSA (cf. “notice-and-take-down”; “notice-and-action”); cf. Art. 14 ECD (repealed)

Exceptions in case of lack of **neutrality**, **intransparency** (regarding consumer protection on **trading platforms**) and **copyright infringements** – art. 6(2), (3) DSA, art. 17 DSMD

Internal market and „country-of-origin“ principle – art. 3 ECD

Each Member State shall ensure that the information society services provided by a **service provider established on its territory comply** with the **national provisions** applicable in the Member State in question which fall within the **coordinated field** – art. 3(1) ECD

Member States may not, for reasons falling within the coordinated field, **restrict the freedom to provide information society services from another Member State** – art. 3(2) ECD; <-> recital 38 DSA?

The coordinated field encompasses requirements as regards the a) **taking up of the activity** of an information society service (e.g. **authorization**) b) the **pursuit of said activity** (e.g. **behavior** of the service provider, the **quality or content** of the service, the **liability** of the service provider) – art. 2(h()(i) ECD

- Not covered: requirements applicable to **goods as such**, the **delivery of goods**, services **not provided by electronic means** – art. 2(h)(ii) ECD
- Exceptions: E.g. **copyrights**, **choice of law**, **consumer contacts** – art. 3(3), Annex ECD
- Derogations permitted in certain cases (e.g. public policy, health or security) – art. 3(4) ECD

Consumer Rights Directive – Scope

Any contract concluded between a trader and a consumer where the **consumer** pays or undertakes to pay the **price** – art. 3(1) CRD

Contracts where the trader supplies or undertakes to supply **digital content which is not supplied on a tangible medium** or a **digital service** to the consumer and the **consumer** provides or undertakes to **provide personal data to the trader** – art. 3(1a) CRD

↳ Exception: data are exclusively processed for the purpose of such a supply or due to legal requirements

The directive **does not apply** to the contracts listed in art. 3(3) CRD, e.g.

- social services, including social housing, childcare etc; healthcare
- gambling; acquisition or transfer of immovable property
- passenger transport services; exception: art. 8(2), art. 19, 21 and 22
- concluded by means of automatic vending machines or automated commercial premises

Financial services covered as of Directive (EU) 2023/2673

Member state option for off-premises contracts with payments **not exceeding EUR 50** – art. 3(4) CRD; cf. e.g. § 1(2)(1) FAGG

Distance and Off-Premises Contracts

Distance contract: any contract concluded between the trader and the consumer under an **organized distance sales** or **service-provision scheme without the simultaneous physical presence of the trader and the consumer**, with the exclusive use of one or more means of **distance communication** up to and including the time at which the contract is concluded – art. 2(7) CRD

Off-premises contract: any contract between the trader and the consumer:

(a) concluded in the **simultaneous physical presence** of the trader and the consumer, in a place which is **not the business premises** of the trader;

(b) for which an **offer was made** by the consumer in the same circumstances as referred to in point (a);

(c) concluded on the business premises of the trader or through any means of distance communication **immediately after the consumer was personally and individually addressed in a place which is not the business premises** of the trader in the simultaneous physical presence of the trader and the consumer; or

(d) concluded **during an excursion** organized by the trader with the aim or effect of promoting and selling goods or services to the consumer – art. 2(8) CRD

Information requirements I

Before the consumer is bound by a contract other than a distance or an off-premises contract […] the **trader shall provide the consumer** with the certain pieces of information in a clear and comprehensible manner, if that information is not already apparent from the context; e.g.:

- the main characteristics of the goods or services;
- the identity of the trader, such as his trading name, the geographical address at which he is established and his telephone number;
- the total price of the goods or services inclusive of taxes; price calculation methods;
- the duration of the contract, where applicable, or, if the contract is of indeterminate duration or is to be extended automatically, the conditions for terminating the contract – art. 5 CRD

Information requirements II

Special requirements for distance or off-premises contracts before the consumer is bound, e.g.

- the trader's telephone number and email address;
- that the price was personalized on the basis of automated decision-making (where applicable);
- information on the right of withdrawal (where applicable) – art. 6 CRD.

Distance contracts

- additional requirements for contracts concluded on online marketplaces (e.g. rankings, whether third party is a trader) – art. 6a CRD
- provision **essential pieces of information** in a clear and prominent manner directly before placing orders – art. 8(2)(1) CRD
- if a **button or similar function** is used for placing an order, it shall be labelled in an easily legible manner only with the words '**order with obligation to pay**' or a corresponding unambiguous formulation indicating that placing the order entails an obligation to pay the trader – art. 8(2)(2) CRD ("**button solution**")

Order with obligation to pay

Right of withdrawal I

The **consumer** has a **period of 14 days** to **withdraw from a distance** or **off-premises contract**

- without giving any reason;
- without incurring any costs; see for exceptions art. 13(2), art. 14 – art. 9(1) CRD
- the withdrawal period starts at the day of the conclusion of the contract (service contracts, contracts for the supply digital content which is not supplied on a tangible medium)/at the day on which the consumer acquires physical possession of the goods (sales contract) – art. 9(2) CRD
- the period is extended where information on withdrawal right under art. 6 has not been provided – art. 10 CRD (up to 12 months from the end of the initial withdrawal period)

The exercise of the right of withdrawal **terminates the obligations of the parties** – art. 12 CRD

- The trader reimburses all payments received from the consumer – art. 13(1) CRD
- The consumer sends back the goods without undue delay and in any event not later than 14 days/ shall refrain from using the digital content or digital service – art. 14(1, 2a); cf. art. 13(8) CRD

Right of withdrawal II

Several exceptions to the right of withdrawal apply – art. 16 CRD; e.g.

- the supply of goods or services for which the price is dependent on **fluctuations in the financial market** which cannot be controlled by the trader and which may occur within the withdrawal period;
- the supply of goods made to the **consumer's specifications** or **clearly personalized**;
- the supply of **goods** which are **liable to deteriorate or expire rapidly**;
- the supply of a **newspaper**, **periodical** or **magazine** with the exception of subscription contracts for the supply of such publications;
- the supply of **sealed goods** which are not suitable for return due to **health protection** or **hygiene reasons** and were **unsealed after delivery**;
- contracts for the **supply of digital content** which is not supplied on a tangible medium if the **performance has begun** and, if the contract places the consumer under an obligation to pay, where
  - i) the consumer has provided **prior express consent to begin the performance during the right of withdrawal period**;
  - ii) the consumer has provided **acknowledgement that he thereby loses his right of withdrawal**; and
  - iii) the trader has provided **confirmation** in accordance with art. 7(2) or art. 8(7) CRD

Excursus: Applicable Law

A contract concluded by a natural person for a purpose which can be regarded as being outside his trade or profession (the **consumer**) with another person acting in the exercise of his trade or profession (the **professional**) shall be governed by the **law of the country where the consumer has his habitual residence**, provided that the professional:

(a) **pursues his commercial or professional activities in the country** where the consumer has his habitual residence, or

(b) by any means, **directs such activities to that country** or to several countries including that country,

and the contract falls within the scope of such activities – art. 6(1) Rome I Regulation;
exceptions: art. 5, 6(4), 7 Rome I Regulation

- The parties **may choose the law applicable to a contract** (cf. art. 3 Rome I regulation). Such a choice may not, however, have the result of **depriving the consumer of the protection afforded to him by provisions that cannot be derogated from by agreement** by virtue of the law which, in the absence of choice, **would have been applicable on the basis of para. 1** – art. 6(2) Rome I Regulation

On **international jurisdiction** see art. 17 et seq. Brussels Ia Regulation

Thank you for your attention!

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